

Generating 50 percent annualized returns over 10 years when running a mostly unleveraged portfolio is very, very hard to do. Every dollar invested would turn into \$57.66 over 10 years—*more than 56 times the original investment*. Warren Buffett has mentioned at Berkshire Hathaway annual meetings that during his first decade as an investor (1950 to 1960), he generated an annualized return of 50 percent. In Buffett's case, he was managing just a few thousand dollars in 1950 and single-digit millions in 1960. Greenblatt was managing a few million at the outset 20 years ago and a few hundred million 10 years later. Both men saw their annualized performance numbers drop off as assets under management swelled. Nonetheless, both have trounced the markets soundly. Greenblatt, with over a billion under management, continues to beat the market handily. And amazingly, Buffett, with assets approaching \$200 billion, has generated 20 + percent annualized returns over five decades.

Buffett does not go as far as Swensen in recommending indexing. He does see it as the best option for the investor that does not want to do the heavy lifting that securities analysis requires. But he also says that an intelligent investor running a focused value portfolio is likely to do better than the broad indexes.

Greenblatt came out with a very direct set of recommendations for the individual investor in *The Little Book*.⁵ Greenblatt has done the individual investor a huge favor by writing the book and setting up the free web site, www.magicformulainvesting.com. The book's thesis is that buying good businesses when they are cheap is likely to generate vastly better returns than any broad index.

Greenblatt's Magic Formula works as follows: All U.S. publicly held stocks are sorted in descending order based on the return on invested capital they generate. If there are 3,000 stocks in this universe, some stock like Google might get a very low number (ranked near the top) and some stateowned steel company might be at the bottom of the list. He then generates another list, based on the price-to-earnings (P/E) ratio. The lowest P/E stock is ranked as 1, and the highest would be ranked as 3,000. Finally, he adds the two numbers for each stock. The businesses with the lowest resulting numbers show up as Magic Formula stocks. A company like